SOUND MONEY STRESS TESTS

When Is Credit Resilience Rather Than Fragility?

Sound Money Stress Tests, Essay 1.

Arne Kotte

AUTHOR	DOCUMENT TYPE	DATE
Arne Kotte	Contrarian essay	May 2026

When Is Credit Resilience Rather Than Fragility?

The objection

A serious critique of household-fragility research is that it can treat borrowing too harshly.

Credit is not automatically a sign of distress. A person may use a credit card for convenience and pay it in full. A family may borrow to smooth an unexpected timing mismatch between income and expenses. A temporary loan can prevent a small emergency from becoming a larger hardship when repayment is realistic. Longer-term borrowing for education, housing, or durable capacity can also be welfare-improving when it is serviceable.

In that view, credit is not fragility. Credit can be resilience.

This objection is partly right. Any research program that treats all borrowing as financial weakness will misread household behavior.

What public data can test

Public data usually cannot prove whether a specific household borrowed wisely, reluctantly, or under distress. Intent matters, and intent is hard to observe.

But public evidence can still make useful distinctions. It can separate payment instruments, liquidity states, and hardship markers. The key question is not whether a respondent used credit. The key question is what kind of credit use is observed, what repayment or liquidity state it signals, and what hardship outcomes appear around it.

Those concepts are different:

- **Payment instrument:** whether a respondent would use cash, a card, savings, borrowing, or another method to handle an emergency.
- **Repayment state:** whether card use would be paid in full or revolved over time.
- **Liquidity state:** whether the respondent reports liquid resources or emergency savings.
- **Hardship markers:** bill pressure, external help, medical debt, credit constraint, or inability to pay.
- **Credit exclusion:** inability to use credit or another financing path when an emergency occurs.

These should not be collapsed into one generic “credit use” label.

What the research framework should concede

The credit-resilience critique improves the research program in three ways.

First, it prevents anti-credit overreach. Debt can be useful. A household with access to affordable, temporary credit may be more resilient than a household with no borrowing option.

Second, it forces selection awareness. Respondents able to use and repay credit may already have higher income, better credit access, stronger banking relationships, more stable employment, social support, or other unobserved advantages. If paid-in-full card users fare better, that does not prove that card use caused resilience.

Third, it sharpens the actual measurement question. The problem is not borrowing itself. The problem is reliance on expensive, persistent, or distress-linked borrowing when liquid buffers are thin.

What the existing evidence suggests

The strongest version of the household-resilience argument is not that credit is bad. It is that credit has different meanings depending on the liquidity and repayment state around it.

The SHED-based work is useful here because it distinguishes adult respondents by emergency-buffer capacity, emergency-payment responses, and hardship outcomes. A respondent who can cover an emergency with cash or savings is different from a respondent who would use a card and pay it in full. Both are different from a respondent who would revolve a card balance, use other emergency borrowing, or report being unable to pay.

The 2025 SHED pooled emergency-financing profile table makes the distinction visible:

Emergency-financing profile	N	Strict hardship rate	Low-buffer rate
Paid-in-full card / bridge-credit users	4,704	24.7% [23.4, 26.0]	0.3%
Cash/checking/savings	3,754	31.4% [29.8, 33.0]	0.5%
Revolving credit for $400	1,833	67.9% [65.6, 70.2]	74.4%
Other emergency borrowing	943	79.3% [76.5, 82.1]	82.7%
Unable to pay $400	1,530	85.1% [83.2, 87.0]	92.7%

The paid-in-full card group had a lower strict-hardship rate than the cash/checking/savings group in this descriptive table: 24.7 percent versus 31.4 percent. That does not prove paid-in-full card use causes resilience. It does show why paid-in-full card use should not be treated as distress by default.

The contrast appears when credit becomes revolving or distress-linked. Respondents using revolving credit for a $400 emergency had a 67.9 percent strict-hardship rate and a 74.4 percent low-buffer rate. Respondents relying on other emergency borrowing had a 79.3 percent strict-hardship rate and an 82.7 percent low-buffer rate. Respondents unable to pay $400 had an 85.1 percent strict-hardship rate and a 92.7 percent low-buffer rate.

The pattern is not credit versus no credit. It is a difference between serviceable payment capacity and emergency-financing responses associated with low buffers and hardship markers.

That distinction matters for measurement. Treating paid-in-full card users, revolving-card users, other emergency borrowers, and respondents unable to pay as one broad “credit or noncash” group would hide the main signal. Paid-in-full card use looks more like liquidity management. Revolving credit, other borrowing, and inability to pay look much closer to fragility or exclusion.

What this does not prove

The public evidence does not prove that any individual household is irresponsible, fragile, or resilient because it borrowed. It does not prove that paid-in-full card use causes better outcomes. It does not prove that all revolving debt reflects distress. It does not prove that households without debt are automatically stronger.

The outcome measures also need careful interpretation. The strict-hardship measure combines bill pressure, external help, or medical debt. Bill pressure is close to current cash-flow strain. External help may signal hardship, but it can also signal access to informal insurance. Medical debt may reflect earlier medical events rather than the same moment as an emergency-payment response. The composite is useful, but it is not a complete theory of household welfare.

The evidence also does not eliminate the role of choice. Households make spending, saving, location, family, career, and borrowing decisions. A serious resilience framework should not deny agency.

But choices happen inside constraints. Income timing, healthcare exposure, rent, mortgage rates, childcare costs, debt service, family obligations, and local labor markets shape the feasible set. The point is not to excuse every decision. The point is to measure how much room households have before a routine shock becomes a cascading problem.

The narrow conclusion

The critic is right: credit can be resilience.

But that insight does not weaken the household-resilience framework. It improves it.

A credible framework should not ask only, “Did the respondent use credit?” It should ask:

- Was the credit paid in full or revolved?

- Was the payment response supported by liquid buffers?
- Was the respondent already exposed to bill pressure, medical debt, or outside help?
- Did credit appear as ordinary liquidity management, or as the only available emergency buffer?
- Was the respondent excluded from credit or unable to pay at all?

That is the distinction the research program should preserve.

Credit is not the opposite of resilience. Sometimes it is part of resilience. The warning sign is when credit stops being a payment bridge and becomes the household's emergency buffer.

Evidence note

The SHED figures cited above come from the public-use SHED 2025 pooled emergency-financing profile table in *Emergency Buffers, Borrowed Resilience, and Household Hardship*. The estimates are weighted descriptive adult-respondent associations, not household-level causal estimates or treatment effects. The strict-hardship measure is designed to reduce direct overlap with the emergency-payment item by focusing on bill pressure, external help, or medical debt. Confidence intervals shown for strict hardship are approximate intervals from the underlying public-use analysis.

Related research-library pieces

- *Society Under Monetary Stress VII: Borrowed Resilience*
- *Emergency Buffers, Borrowed Resilience, and Household Hardship*
- *SHED Emergency-Buffer Measurement and Replication Note*
- *Liquid Buffers, Borrowed Resilience, and Household Hardship Profiles*
- *Mapping Household Financial Resilience*